
KOTAK MAHINDRA BANK

FY26 Research Summary

Independent Equity Research Review

Research Period: Weeks 6–9

Palak Mittal

Student Analyst

Not Investment Advice

Three findings from four weeks of primary research

Key observations on the FY26 recovery and management indicators

1

FY26 recovery was observable before headlines reflected it.

2

Management language proved to be a leading indicator.

3

ROE remains the final unresolved variable.

Kotak operates as a diversified financial services group

Performance across banking, asset management, capital markets, and insurance

BANKING

NII ₹30,010 Cr

+6% YoY

ASSET MANAGEMENT

AUM ₹5,55,230 Cr

+16% YoY

CAPITAL MARKETS

PAT

+34% YoY

INSURANCE

PAT ₹73 Cr

Under pressure

KEY INSIGHT: 30% of FY26 PAT originated outside core banking.

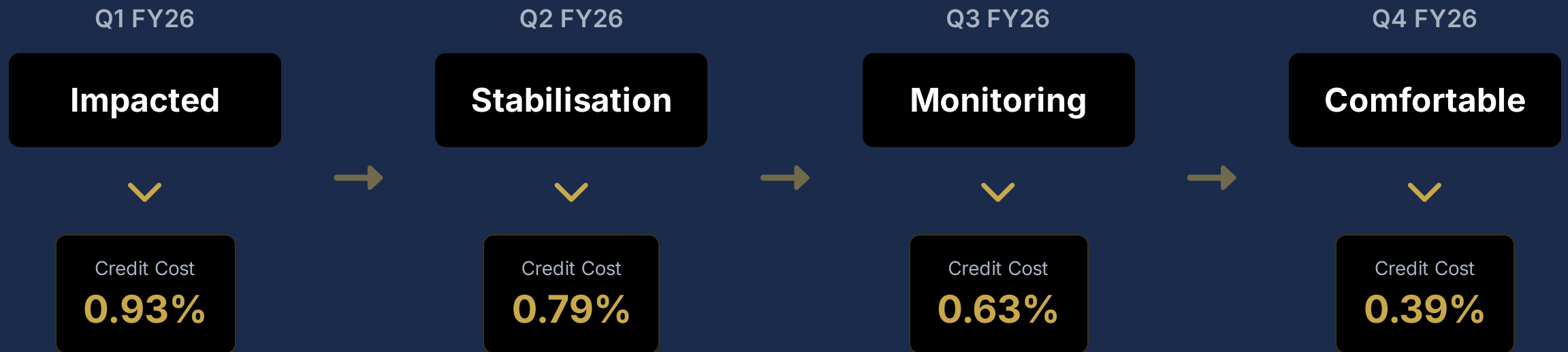
FY26 ended stronger than it started across every core metric

Quarterly progression of credit costs, asset quality, and growth

METRIC	Q1 FY26	Q4 FY26	DIRECTION
Credit Cost	0.93%	0.39%	↓
GNPA	1.48%	1.20%	↓
NIM	4.65%	4.67%	→
PAT Growth	Flat	+13% YoY	↑
Slippages	₹1,488 Cr	₹1,018 Cr	↓ 32%

Management confidence shifted before the numbers confirmed it

Correlation between qualitative commentary and credit cost improvements



KEY INSIGHT: Language improved one quarter before fundamentals did.

What management emphasised—and what they quietly left out

Analyzing the narrative vs. the missing data points

MANAGEMENT EMPHASIS

- India GDP growth
- GNPA improvement
- Four-engine diversification
- Digital banking

LIMITED DISCLOSURE

- Microfinance stress
- NIM compression
- IDBI acquisition evaluation

KEY INSIGHT: Absence of disclosure is also a form of disclosure.

Risk Assessment

Evaluation of high, medium, and emerging risk factors

HIGH PRIORITY

- NIM pressure
- Microfinance stress

MEDIUM PRIORITY

- ROE gap

EMERGING RISKS

- Regulatory & digital risk

KEY TAKEAWAY: Execution risk is lower than profitability risk.

Analyst View

Assessment of business quality, management credibility, and open questions

BUSINESS QUALITY

- Best-in-class asset quality.
- Capital adequacy 22.4%.
- Diversified financial services model.

MANAGEMENT CREDIBILITY

- FY26 guidance broadly delivered.
- Language aligned with outcomes.
- Disciplined capital allocation strategy.

OPEN QUESTION

- ROE at 11.08% vs. mid-teens guidance.
- Confirmation depends on sustained NIM >4.8%.
- Execution risk vs. profitability risk.

The single most important forward indicator

Critical triggers for ROE expansion and growth confirmation

PRIMARY PERFORMANCE TARGET

NIM > 4.8%

Sustained for 2 consecutive quarters

- Fresh slippages < ₹1,000 Cr
- CASA stabilisation
- Credit card book rebuilding

KEY INSIGHT: Recovery is credible. Confirmation is still ahead.

IMPORTANT DISCLOSURE

This presentation is an independent research exercise produced as part of the #100DaysWithTVS learning challenge. It is prepared by a finance student and does not constitute investment advice, a buy/sell recommendation, or a solicitation of any kind. All data is sourced from publicly available company filings, annual reports, investor presentations, and earnings call transcripts. Readers should conduct their own research and consult a SEBI-registered investment advisor before making investment decisions.

Palak Mittal

Student Analyst | BBA Finance | University of Delhi